

Tax guide specifically for grad students covering fellowship income reporting, quarterly payments, forms, and state rules — Action Checklist

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CLASSIFY YOUR FELLOWSHIP TYPE

- ☐ **Classify Fellowship Type:** Locate your official award letter and read it word for word, looking specifically for language about service obligations, conditions of the award, and any statements about tax treatment because misclassifying your funding source leads to incorrect tax calculations that can compound for years.
- ☐ **Check for Service Obligations:** Ask yourself whether you are required to teach, conduct research, or perform any services to receive this funding because if a service requirement exists, your university should be withholding income taxes and issuing you a Form W-2 as compensation.
- ☐ **Verify Classification With Your University:** Contact your university's fellowship or student finance office and ask specifically whether your award is reported as a scholarship or as wages on tax forms, then get the answer in writing to protect yourself from future disputes.
- ☐ **Set Aside Taxes Conservatively:** If you cannot determine your fellowship classification with certainty, immediately set aside 25-30% of your fellowship stipend for taxes because you can always adjust this amount later, but failing to plan means facing an unexpected tax bill.

IDENTIFY TAXABLE INCOME

- ☐ **Know What Is Tax-Free:** Understand that qualified tuition and required fees paid directly to your institution are generally tax-free under IRS Publication 970, which means most direct tuition payments will not trigger a tax liability.
- ☐ **Know What Is Taxable:** Recognize that stipend or living allowance money paid directly to you, even when called a fellowship, is fully taxable income that must be reported to the IRS on your annual tax return.
- ☐ **Decode the Employment Tax Trap:** Understand that the phrase 'not subject to employment taxes' in your award letter means only that Social Security and

Medicare are not withheld, not that the income is tax-free, because this common misreading leads to thousands of dollars in unexpected tax owed.

- ❑ **Account for All Taxable Benefits:** Include health insurance premiums paid on your behalf, housing allowances, and money for books or equipment as taxable income because the IRS treats these as compensation unless specifically required by your institution.

SET UP YOUR TAX SYSTEM

- ❑ **Calculate Your Annual Tax Liability:** Estimate your total tax obligation by applying the appropriate tax rate to your taxable fellowship income and comparing this to your fellowship amount to determine whether you owe taxes or may receive a refund.
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- ❑ **Make Quarterly Estimated Payments:** If your tax liability exceeds your fellowship withholding, make quarterly estimated tax payments to the IRS using Form 1040-ES to avoid penalties and interest charges that accumulate when you pay nothing throughout the year.
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- ❑ **File the Correct Tax Forms:** Use IRS Publication 970 for scholarship and fellowship income reporting, and ensure you receive any necessary forms from your university such as Form 1098-T for tuition payments and Form W-2 for wage compensation.
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- ❑ **Build a Repeating Annual System:** Create a dedicated savings account for tax reserves and automate transfers of 25-30% of each fellowship payment into that account so the money is never accidentally spent and the system runs without requiring your constant attention each year.
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Companion to the full guide in your Lemon Squeezy library — check off each item as you complete it.